

DSV and another v DSU

[2026] SGHC 128, Originating Application No 1153 of 2025

General Division of the High Court of the Republic of Singapore

Jurisdiction

Singapore

Area of law

Arbitration law; recourse against arbitral awards; natural justice; arbitral procedure

Legal question

Whether an arbitral tribunal breached natural justice or departed from agreed procedure by confining a hearing to pleaded issues and excluding an issue raised in interlocutory emergency arbitration submissions but not pleaded in the substantive arbitration. Whether the tribunal exceeded its powers by reserving jurisdiction over post-award freezing relief.

Key facts

DSU and DSV entered into a high-value transaction in 2022 documented under the ISDA Master Agreement, supplemented by schedule and confirmation letter. The transaction was in economic substance a loan of approximately \$192m to finance DSV's acquisition of shares in a Ruritanian business, with DSV providing a personal guarantee. A Bankruptcy Event of Default could be triggered by insolvency proceedings against a Specified Entity, subject to a proviso that proceedings must not be dismissed, discharged, stayed or restrained within 30 days. On 22 January 2024, lenders applied to Ruritanian insolvency tribunal to commence insolvency proceedings against the Specified Entity. On 21 February 2024, 30 days had elapsed. DSU claimed a Bankruptcy Event of Default had occurred and terminated the transaction on 27 February 2024, demanding approximately \$300m as the Early Termination Amount. On 7 March 2024, DSU commenced arbitration. The claimants sought early determination of DSU's claim based on pleadings. The tribunal confined the hearing to pleaded issues, excluding an issue (the "Stay Issue") that the claimants had raised in emergency arbitration submissions but had not pleaded in their substantive defence.

Holding

The court dismissed the application to set aside the award on all three grounds. First, the tribunal did not breach natural justice by confining the hearing to pleaded issues. Emergency arbitration submissions were directed to a different and interlocutory purpose and did not survive as pleadings in the substantive arbitration. The claimants themselves had sought a pleading-style reference to fix issues by pleadings. A finding that an issue was unpleaded, made after hearing both sides, was not a denial of fair hearing. The claimants had opportunities to amend their defence but did not do so, and failed to demonstrate prejudice by not adducing the evidence they claimed would have been led. Second, the tribunal did not depart from agreed procedure. The agreed procedure was a pleading-style reference with issues defined by pleadings, which the tribunal applied correctly. Third, the tribunal did not exceed its powers by reserving jurisdiction over freezing relief; it merely deferred determination pending further submissions.

Significance

This decision establishes important principles regarding the scope of arbitral proceedings in pleading-based references. It clarifies the distinction between emergency arbitration submissions (which serve an interlocutory purpose) and substantive pleadings (which define the scope of the merits hearing). The judgment emphasizes that parties who seek pleading-based references are bound by the issues they actually plead and cannot rely on issues raised in earlier interlocutory stages. The decision also establishes stringent requirements for the admissibility of evidence in originating applications seeking to set aside arbitral awards, particularly regarding affidavit evidence and the inadmissibility of solicitor affidavits and power-of-attorney substitutions.

Precedent impact

The judgment provides guidance on the proper scope of review of arbitral awards under the International Arbitration Act and Model Law, establishing that tribunal decisions on the scope of pleaded issues following a fair hearing are not amenable to review for correctness. It reinforces the principle that fair hearing requires only a reasonable opportunity to present one's case, bounded by what was pleaded and agreed. The decision also creates precedent regarding the relationship between emergency arbitration submissions and substantive pleadings, clarifying that interlocutory submissions do not automatically carry forward as pleadings in the substantive phase.

Full judgment URL

https://www.elitigation.sg/gd/s/2026_SGHC_128